

24SMCV02027 24SMCV02027

County: los-angeles

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Department: 207

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TENTATIVE

RULING

DEPARTMENT

207

HEARING DATE

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26, 2026

CASE NUMBER

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MATTER

Request

for Default Judgment

This case arises from an employment dispute.

The

operative Second Amended Complaint ("SAC") filed by Plaintiff Danielle Rose Altman ("Plaintiff") alleges nine causes of action for (1) failure to pay all wages upon termination: waiting time penalties; (2) failure to pay all wages earned; (3) failure to pay overtime wages; (4) failure to issue accurate

itemized wage statements; (5) failure to timely produce personnel file; (6) fraudulent misrepresentation; (7) fraudulent concealment; (8) reimbursement of employee expenses; and (9) violations of California's Unfair Competition Act against Defendants The Probably Nothing Company ("PNC"); Jeremy Lloyd Fall ("Fall") (together, "Defendants") and Does 1 through 20.

The

Probably Nothing Company was served with the Second Amended Complaint on May 21, 2025. Fall was served via publication, as ordered by the Court on November 13, 2025. The Summons was published in the Los Angeles Daily Journal on November 24, December 1, December 8, and December 15, 2025. Default was entered against both named Defendants on January 3, 2025. The Court dismissed the Doe Defendants via oral motion at the March 12, 2026 hearing.

Plaintiff now requests default judgment against Defendants in the amount of \$636,253.65, which is purportedly composed of \$628,082.82

as demanded in the complaint and \$8,170.83 in attorneys' fees.

A. Damages

The

Court cannot award damages that are in excess of the amounts demanded in the operative complaint. (See Code Civ. Proc., § 580, subd. (a) ["The relief granted to the plaintiff, if there is no answer, cannot exceed that demanded in the complaint"]; *Levine v. Smith* (2006) 145 Cal.App.4th 1131, 1136-1137 ["when recovering damages in a default judgment, the plaintiff is limited to the damages specified in the complaint"].)

In

Becker v. S.P.V. Construction Co. (1980) 27 Cal.3d 489, 493-494, the complaint had sought damages "in excess of \$20,000, ... or according to proof" and punitive damages in the amount of \$100,000.

The Supreme Court held that the requirements that the judgment not exceed the damages demanded in the complaint applied both to the amount and type of damages. As such, the judgment for \$26,457.50 in compensatory damages was void to the extent it exceeded the \$20,000 demanded in the complaint. (*Ibid.*)

Plaintiff's

SAC demands the following:

- \$35,975.04 in wages that were withheld for taxes but never paid to the IRS or FTB (SAC ¶ 40)

- \$6,684.46 in unpaid commissions (SAC ¶¶ 27, 41.)

- \$11,253.60 in waiting time penalties. (SAC ¶ 33.)

- \$11,250 for Plaintiff's final 6 weeks of work. (SAC ¶ 42.)

- \$7,174.68 in unpaid overtime wages. (SAC ¶ 51.)

- \$4,000 for wage statement violations. (SAC ¶ 29.)

- \$750 in civil penalties for failure to provide employment records (SAC ¶ 64.)

- \$49,250 in delinquent tax obligations/penalties to the IRS and FTB (SAC ¶ 86) broken down as follows:

- o \$36,000 in delinquent tax obligations/penalties to the IRS for 2022-2023 (SAC ¶¶ 72, 82.)

- o \$4,000 in delinquent tax obligations/penalties to the FTB for each year (SAC ¶¶ 72, 82.)

- o \$5,250 in accountant fees (SAC ¶¶ 72, 82.)

- \$11,700 in lost unemployment benefits (SAC ¶ 73.)

- \$1,763.04 in unreimbursed employment costs (SAC ¶ 91.)

In support of the request, Plaintiff advances the Declaration of Danielle Rose Altman, which outlines the following damages, totaling \$128,082.82:

- \$35,957.04 in wages that were withheld for taxes but never remitted (Altman Decl. ¶¶ 4, 7, 10.)

- \$6,684.46 in unpaid commissions (Altman Decl. ¶ 9.)

- \$11,253.60 in waiting time penalties (Altman Decl. ¶ 12.)

- \$11,250 for Plaintiff's final 6 weeks of work (Altman Decl. ¶ 8.)

- \$7,174.68 in unpaid overtime wages (Altman Decl. ¶¶ 14-16.)

- \$4,000 for wage statement violations (Altman Decl. ¶ 13.)

- \$750 civil penalty for failure to provide personnel file (Altman Decl. ¶¶ 21-22.)

- \$49,250 related to tax obligations/penalties to the IRS and FTB as follows:

- o \$4,000 to the Franchise Tax Board for 2022

- o \$4,000 to the Francise Tax Board for 2023

- o \$5,250 in accounting fees

0

\$18,000 to the IRS for 2022

0

\$18,000 to the IRS for 2023

(Altman Decl. ¶¶ 23-32; 51)

· \$1,763.04 in unreimbursed
expenses (Altman Decl. ¶¶ 17-20.)

(See also Altman Decl. ¶ 51 [summary].)

However,

the Court notes that, to the extent Defendants withheld \$35,975.04 in wages from Plaintiff's paychecks and then failed to remit them to the IRS and/or Franchise Tax Board, those damages are included in (and therefore duplicative of) the \$49,250 delinquent tax obligations/penalties owed to the IRS and FTB.

Therefore,

Plaintiff has substantiated only \$92,125.78 in special and statutory damages.

Plaintiff

also seeks \$500,000 in general damages, as demanded in the operative SAC. (SAC ¶ 86.)

In support, Plaintiff describes the emotional distress she has suffered due to Defendants' wrongful conduct.

(See Altman Decl. ¶¶ 34-50.)

Therefore,

Plaintiff has substantiated damages (economic and non-economic) in the amount of \$592,125.78.

B. Attorneys' Fees and Costs

Code of Civil Procedure

section 1033.5, which outlines recoverable costs to a prevailing party under Code of Civil Procedure section 1032, permits the recovery of attorneys' fees when authorized by contract, statute, or law.

(Code Civ. Proc., § 1033.5, subd. (a)(10).) Code of Civil Procedure section 1021 provides “[e]xcept as attorney’s fees are specifically provided for by statute, the measure and mode of compensation of attorneys and counselors at law is left to the agreement, express or implied, of the parties [....]”

Labor Code section 218.5 provides a statutory basis for the recovery of attorneys’ fees to a prevailing employee in an action brought for the nonpayment of wages.

Plaintiff seeks attorneys’ fees in accordance with the formula in Local Rule 3.214. However, Plaintiff’s calculation includes amounts for statutory penalties, emotional distress, and duplicative damages.

Plaintiff seeks unpaid wages/expenses in the amount of \$62,829.22 as follows:

- \$35,957.04 in wages that were withheld for taxes but never remitted
- \$6,684.46 in unpaid commissions
- \$11,250 for Plaintiff’s final 6 weeks of work
- \$7,174.68 in unpaid overtime wages
- \$1,763.04 in unreimbursed expenses

Local Rule 3.214 provides that for a principal balance between \$50,000 and \$100,000, reasonable attorneys’ fees are \$1,890 plus 2% of the excess over \$50,000. Here, 2% of \$12,829.22 is \$256.58, plus \$1,890 equals \$2,146.58.

CONCLUSION

Therefore, the Court finds Plaintiff has substantiated damages in the amount of \$594,272.36,

representing economic damages in the amount of \$92,125.78; non-economic damages in the amount of \$500,000; and attorneys' fees in the amount of \$2,146.58.

If Plaintiff

submits to the Court's tentative ruling, then the Court will enter judgment accordingly.

DATED: June 26, 2026 /s/ _____

Michael

E. Whitaker

Judge

of the Superior Court